In addition to their franchise quality, newspapers possess valuable economic goodwill. As Buffett points out, newspapers have low capital needs, so they can easily translate sales into profits. Even when a newspaper installs expensive computer-assisted printing presses and electronic newsroom systems, they are quickly paid for by lower fixed-wage costs. During the 1970s and 1980s, newspapers were also able to increase prices relatively easily, thereby generating above-average returns on invested capital and reducing the harmful effects of inflation.

Tenet: Determine the Value

In 1973, the total market value for the Washington Post Company was $80 million. Yet Buffett claims that "most security analysts, media brokers, and media executives would have estimated WPC's intrinsic value at $400 to $500 million."[4] How did Buffett arrive at that estimate? Let us walk through the numbers, using Buffett's reasoning.

We'll start by calculating owner earnings for the year: net income ($13.3 million) plus depreciation and amortization ($3.7 million) minus capital expenditures ($6.6 million) yields 1973 owner earnings of $10.4 million. If we divide these earnings by the long-term U.S. government bond yield (6.81 percent), the value of the Washington Post Company reaches $150 million, almost twice the market value of the company but well short of Buffett's estimate.

Buffett tells us that, over time, the capital expenditures of a newspaper will equal depreciation and amortization charges, and therefore net income should approximate owner earnings. Knowing this, we can simply divide net income by the risk-free rate and now reach a valuation of $196 million.

If we stop here, the assumption is that the increase in owner earnings will equal the rise in inflation. But we know that newspapers have unusual pricing power; because most are monopolies in their community, they can raise their prices at rates higher than inflation. If we make one last assumption—the *Washington Post* has the ability to raise real prices by 3 percent—the value of the company is closer to $350 million. Buffett also knew that the company's 10 percent pretax margins were below its 15 percent historical average margins, and he knew that Katharine Graham was